

Lecture no 2

Topic name Introduction
To Economics

Week no-2

class no-2

Date :- 9-03-2025

Day :- Monday

What is Economics?

Economics is the study of how humans allocate scarce resources to satisfy unlimited wants.

Key points

- Resources are limited, but human wants unlimited.
- Economics helps in making choices about how to use limited resources efficiently.
- It studies human behaviour, marketing structure, Institutes involved in economic activities

For Example:-

You may buy a book, cloth and snack. You may choose a Limited resources.

Key concept in economics:-

Scarcity:-

Limited resources vs Unlimited wants
Scarcity is the fundamental economic problem.

Opportunity Cost:-

The cost of choosing one option over another.

Fore Example:-

If you have 100 units of money and you buy coke, the opportunity cost is the pepsi you didn't buy.

Trade-off:-

Choosing one thing means giving up another.

Fore Example:-

Spending money on coke means less money for pepsi or snacks.

Human wants:-

Human wants are unlimited.

Resources to satisfy wants are source.

Economics studies how to allocate

Types of economics:-

Macroeconomics

- Aggregate level
National economy
analysis: inflation, employment.

Example :

- Gross Domestic
purpose growth rate.
National employment
-ment rate.

Resources must be allocated efficiently because they are limited.

Examples

This shows the trade-off and opportunity cost in decision making.

Economics studies.

Human behaviour:

How people make decisions to satisfy their wants

Market structure:

How buyers and sellers interact.

Institution:

Rules and organizations that shape economic activities.

Defination:

Adam Smith of economics:

"Economics is the science of wealth."

Adam Smith believed that economics studies how wealth is produced, distributed, and used in a society.

Simple explanation:

Economics tell us how people earn money, produce goods, and use resources to create wealth.